Scope Economies and Allocative Efficiency[*†]

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Abstract

Size-dependent distortions misallocate resources, yet in standard models they account for only a small share of cross-country income gaps. These models abstract from scope economies. Using product-level data, I show that revenue per product rises with the number of products in the US but not in India, consistent with scope economies operating only in the US. I rationalize this pattern in a model where firms adopt costly non-rival management shared across products. Adoption generates cost savings that act as productivity gains and increase with firm size. Hence, large firms adopt, and the right tail of the firm-size distribution thickens. I introduce distortions to match the Indian firm-size distribution and show that they deter adoption, rationalizing the absence of scope economies in India. As large firms forgo adoption, the tail thins. Eliminating distortions in the model calibrated to India increases aggregate productivity by 119%, compared with 55% without scope economies.

[*]All errors are my own.

[†]This paper contains my own analyses calculated (or derived) based in part on data from Nielsen Consumer LLC and marketing databases provided through the NielsenIQ Datasets at the Kilts Center for Marketing Data Center at The University of Chicago Booth School of Business. The conclusions drawn from the NielsenIQ data are those of the author and do not reflect the views of NielsenIQ. NielsenIQ is not responsible for, had no role in, and was not involved in analyzing and preparing the results reported herein.

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